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GRANTS BAIL TO J&K RESIDENT IN UAPA CASE

‘Bail the rule’: SC questions its own order in Umar Khalid case

Cites 3-judge order in 2021: UAPA bail provisions will ‘melt down’ in case of prolonged incarceration, delayed trial

Ananthakrishnan G
New Delhi, May 18

CITING AN earlier judgment that the stringent bail provisions under the Unlawful Activities (Prevention) Act (UAPA) would “melt down” in cases where prolonged incarceration and delayed trial “produce violation of Article 21”, a two-judge bench of the Supreme Court on Monday expressed “serious reservations” about the decision of another two-judge bench to deny bail to Umar Khalid and Sharjeel Imam in the 2020 Delhi



Umar Khalid, Sharjeel Imam were denied bail in Delhi riots case

riots case.

The bench of Justices B V Nagarathna and Ujjal Bhuyan made these observations while granting bail to a resident of

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Different SC benches, different rulings on bail under stringent UAPA

Apurva Vishwanath
New Delhi, May 18

IN GRANTING bail to a Kashmiri man in an alleged narco-terror case, the Supreme Court on Monday underlined a plurality of judicial approaches in the top court, with different benches taking distinct perspectives on the fraught question of whether bail restrictions under the stringent Unlawful Activities (Prevention) Act (UAPA)

can prevail over constitutional safeguards.

“If the smaller benches are unable to agree with the ratio laid down by the larger bench, then the proper and the only course of action open is to make a reference to the Hon’ble Chief Justice of India for placing the matter for consideration by a still larger bench. Being in a combination of two Judges, we are bound by the ratio laid down by the three-Judge bench in

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India eyes trade pact with Oman amid turmoil, FTA starts June 1

Ravi Dutta Mishra
New Delhi, May 18

AMID THE Strait of Hormuz blockade and uncertainty over peace talks between Iran and the US, the Commerce and Industry Ministry Monday said the India-Oman free trade agreement (FTA) signed in December could enter into force as early as June 1.

The likely implementation, within months of signing, comes as Delhi pushes for faster operationalisation of the deal since Omani ports, mainly Salalah and Duqm, fall outside the Strait and could help India reroute exports for West Asia and Africa.

Commerce Ministry officials said several meetings have been held with exporters to explore opportunities for pushing food and other low-margin, labour-intensive products, given Oman’s geographic advantage during the current crisis.

While Oman’s annual demand is limited, the pact offers a transit window. Officials said that only two UAE ports, Khor

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ADANIS TO PAY \$18 MN TO U.S. SEC

US clean chit for Adani after Iran deal, offer to invest \$10 bn

Goes for \$275-mn settlement on Iran sanctions

George Mathew
Mumbai, May 18

THE DONALD Trump-led US administration moved to dismiss criminal fraud charges against Gautam Adani on Monday, while also settling alleged Iran sanctions violations involving his flagship Adani Enterprises, according to court records.

The US Department of Justice permanently dropped all criminal charges against Gautam Adani and his nephew Sagar Adani, bringing high-profile securities and wire fraud case in New York to a complete close after prosecutors concluded they could not sustain the allegations.

With this, multiple US regulatory and legal investigations involving the group have all closed in the last couple of days. *The New York Times* had last week reported that Adani’s attorney Robert Giuffra Jr, who is also a personal attorney of US



Gautam Adani

President Donald Trump, had in a presentation said Adani wanted to invest \$10 billion in the United States but could not do so because of the cases.

Adani had been accused of agreeing to pay \$265 million in bribes to Indian government officials so Adani Group could win approval to develop the country’s largest solar power plant. The Adani Group has consistently denied wrongdoing. Adani is the company’s founder and chairman.

Earlier on Monday, Adani Enterprises Ltd entered into an agreement with the US Department of Treasury’s Office of Foreign Assets Control (OFAC) by paying an amount of \$275 million to settle its potential civil liability for apparent violations of OFAC sanctions on Iran.

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INDIAN EXPRESS UPSC IAS EDITION HD 19~05~2026
-:FOR UPSC IAS ASPIRANTS:-

"AVOID POLITICAL & IRRELEVANT ARTICLES"

Please Try To Read This Completely in 40 Minutes If You Can't So Then You Have To Increase Your Efforts

All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination.

There are some topics which can be coded in answer writing of other topics in the main exam.

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

Adani

This settlement — the second such agreement in the US -- is without admitting the allegations made by OFAC, AEL said in an exchange filing. “Pursuant to the settlement agreement, the company has undertaken to pay the settlement amount of \$ 275 million to OFAC mitigated from the maximum statutory penalty of \$384 million,” it said.

Last week, the US Securities and Exchange Commission (SEC) had gone for final consent judgments against Gautam Adani and Sagar Adani, whom it had earlier accused of making false and misleading statements linked to a 2021 bond offering by Adani Green Energy Ltd. If approved by the court, Gautam Adani and Sagar Adani would have to pay civil monetary penalties of \$6 million and \$12 million, respectively.

According to OFAC, from November 2023 to June 2025, AEL purchased shipments of liquefied petroleum gas (LPG) from a Dubai-based trader purporting to supply Omani and Iraqi gas. Red flags should have put AEL on notice that the LPG actually originated from Iran, OFAC said in a statement.

During this time period, AEL caused US financial institutions to process 32 US dollar-denominated payments totalling approximately \$192,104,044 for the shipments, OFAC said. “The settlement amount reflects OFAC’s determination that AEL’s apparent violations were egregious and not voluntarily self-disclosed and further reflects the AEL’s remedial measures following discovery of the conduct and the cooperation AEL provided for OFAC’s investigation,” OFAC said.

In June 2023, AEL entered the liquefied petroleum gas (LPG) market by importing LPG

and selling to customers in India. However, neither AEL nor any of its affiliates had, prior to this time, traded LPG on their own account through Mundra Port. “None of the parties involved in AEL’s LPG imports were sanctioned at the time of the LPG shipments, and none of the documentation provided to AEL contained any information explicitly pointing to Iranian origin of the LPG. However, AEL and APSEZ sanctions compliance programme did not include other measures to account for risks arising from its dealings,” it said.

OFAC said from the earliest days of the relationship, a number of red flags called into question the true source of the Dubai supplier’s cargo. On at least four separate occasions between March 2023 and February 2024, AEL learned of third-party concerns that cargos supplied by the Dubai Supplier may have originated in Iran, OFAC said.

“AEL acted recklessly and had reason to know of the Apparent Violations due to the presence of red flags pointing to potential links to Iran. These included warnings received from third parties that LPG cargos being imported by AEL may have been of Iranian-origin, and the economic, commercial, and logistical implausibility of the cargos’ origin and pricing,” it said.

On the mitigating factors, OFAC said AEL provided substantial cooperation to OFAC, including by conducting a thorough, independent internal investigation on an expedited basis and at substantial cost, responding promptly to OFAC’s requests for information, and providing large volumes of data regarding the Apparent Violations. “AEL has implemented significant remedial measures to respond to the Apparent Violations, including ceasing imports of LPG into India...,” it said.

Bail the rule: SC

Jammu and Kashmir, Syed Ifthikar Andrabi, in custody since 2020. Andrabi faces charges under the UAPA in a narco-terror case investigated by the National Investigation Agency (NIA).

Saying that bail is the rule and jail an exception even in UAPA cases, the bench said it is a constitutional principle flowing from Articles 21 and 22, and the presumption of innocence is the cornerstone of any civilised society governed by the rule of law.

The bench pointed out that in the *Union of India vs K A Najeeb* case in 2021, a three-judge bench of the court had held that violation of a fundamental right like right to speedy trial can be a ground for grant of bail even under a stringent law like the UAPA. The bench had then upheld the bail granted to an accused jailed since April 2015 for alleged involvement in chopping the hand of a Kerala professor in 2010.

“Therefore, the caution of Najeeb (case) is that continued incarceration cannot go unabated by a mere discharge by the State of the prima facie standard under Section 43-D(5) (which lays down stringent conditions for grant of bail under UAPA). The judgment explicitly held that Section 43-D(5) will ‘melt down’ where prolonged incarceration and delayed trial produce a violation of Article 21. The constitutional inquiry in Najeeb therefore operated independent of, and notwithstanding, the statutory embargo of Section 43-D(5) in the realm of constitutional principles,” the bench said.

However, in two subsequent judgments by separate two-judge benches — *Gurwinder Singh vs State of Punjab* (February 2024) and *Gulfisha Fatima vs State (NCT of Delhi)* (January 5, 2026) — the court took a somewhat divergent view “from the clear, distinctive trajectory it had earlier followed,” the bench said.

In the *Gulfisha Fatima vs State* case, an SC bench of Justices Aravind Kumar and N V Anjaria had granted bail to five other accused in the Delhi riots conspiracy case, but denied relief to Khalid and Imam, saying they stood on a “higher footing in the hierarchy of participation”. The court had observed that prolonged incarceration cannot be an “absolute entitlement” to seek bail in terror cases.

“This court is satisfied that the prosecution material taken on face value as required at this stage discloses a prima facie attribution of a central and formative role by appellants... Umar Khalid and Sharjeel Imam are in the alleged conspiracy. The material suggests involvement at the level of planning, mobilisation, and strategic direction extending beyond episodic or localised acts. The statutory threshold under Section 43(d)(5) of the UAPA, therefore, stands attracted qua these appellants,” the bench had said.

On April 16 this year, the SC had dismissed review petitions against this decision.

“We have serious reservations on various aspects of the judgment in the Gulfisha

Fatima case, including foreclosing the right of the two appellants to seek bail for a period of one year... The judgment in the Gulfisha Fatima case would have us believe that Najeeb is only a narrow and exceptional departure from Section 43-D(5) justified in extreme factual situations. It is this hollowing out of the import of the observations in the Najeeb case that we are concerned with,” the bench said on Monday.

In the case of Gurwinder Singh, accused in a UAPA case of Sikh separatism, the SC, while rejecting the bail plea, had said that relief could be denied if accusations appear to be prima facie true and in such situations, bail would be an exception and jail the norm.

On Monday, Justice Bhuyan, writing for the bench, said: “We make it clear that K A Najeeb is the binding law and entitled to the protection of stare decisis. It cannot be diluted, circumvented, or disregarded by the trial court, the High Court, or even by benches of lower strength of this court.”

The doctrine of stare decisis requires courts to follow established legal precedents so as to ensure consistency, fairness and predictability.

“A judgment rendered by a bench of lesser strength is bound by the law declared by the bench of greater strength. Judicial discipline mandates that such a binding precedent must either be followed or, in case of doubt, be referred to a larger bench. A smaller bench cannot dilute, circumvent or disregard the ratio of a larger bench,” the court said.

In the current case, the bench directed that Andrabi be released on bail, subject to conditions as the NIA court may deem fit. He had earlier been denied bail by the NIA court and the Jammu and Kashmir High Court.

Andrabi was accused of having links with Pakistan-based handlers of the Lashkar-e-Toiba and Hizbul Mujahideen, and involvement in a cross-border narcotics smuggling racket to fund terrorist activities in India. Andrabi’s counsel had contended that though the chargesheet was filed on December 5, 2020, the trial was moving slowly, and over 350 prosecution witnesses were yet to be examined.

Justifying its decision to grant bail to Andrabi, the SC cited statistics on low conviction rates in UAPA cases. “It is evident that the country-wide percentage of conviction under the UAPA for... 2019-23 hovers between 2% to 6%. In other words, there is 94% to 98% possibility of acquittal in such cases... When it comes to the Union Territory of Jammu and Kashmir, the percentage of conviction is abysmal, to say the least. For the aforesaid period, the annual rate of conviction is always less than 1%. It means that at the end of the trial, there is 99% possibility of acquittal in such cases,” it said.

“With these kinds of statistics staring at our face, the question is, should we continue the detention of the appellant or defer the consideration to a later stage, simply because the charges are serious,” it said.

FTA with Oman

Fakkan and Fujairah, are not currently facing operational difficulties. Overall trade with UAE, India’s largest trading partner in the Gulf, has declined over 35% in April.

“Oman’s ports offer an advantage that the Government is planning to leverage. There are several products which would be prioritised, but Muscat’s annual demand is barely \$40 billion, and there is no alternative to trade with, say, the UAE. Besides, currently not many shipping lines are taking that route, and freight rates have more than doubled, which is a bigger challenge,” an exporter said.

Trade data showed that while commerce with West Asian countries has come under pressure since the Strait of Hormuz was closed on March 2, trade with Oman has picked up. Energy imports from Iraq, Qatar and the UAE declined sharply in

April, but shipments from Oman jumped 246.42% to \$1.48 billion last month, compared to \$429.58 million in April last year.

Before the war, India’s trade had been heavily dependent on the UAE and Saudi Arabia. The two countries accounted for 8.4% and 2.7% of India’s total exports respectively in FY25, while Oman’s share stood at just 0.9%. On the import side, the UAE and Saudi Arabia comprised 8.8% and 4.2% of India’s total imports, with Oman again at 0.9%, Commerce Ministry data showed.

The pact with Oman also assumes significance given its role in the ongoing West Asia conflict. Iran’s Deputy Foreign Minister Kazem Gharibabadi said last week that Tehran is working on arrangements to determine what services “Iran and Oman are providing in the Strait of Hormuz”. Iranian Foreign Minister

Abbas Araghchi also said Iran was coordinating with Oman on the future management of the Strait.

Under the FTA, Oman has offered zero-duty access for Indian goods on 98% of its tariff lines. Oman largely exports crude oil, liquefied natural gas, fertilisers, and chemical inputs such as methyl alcohol and anhydrous ammonia, along with petroleum coke. Indian exports to Oman, largely consisting of machinery and parts, have doubled in the last five years from \$3 billion to \$6 billion. New Delhi’s top exports, apart from naphtha and petrol, include machinery, aircraft, rice, iron and steel articles, beauty and personal care products, and ceramics.

Currently, only 15.33% of India’s export value and 11.34% of tariff lines (2022–24 average) enter the Omani market at zero duty under the Most Favoured Nation (MFN) regime. Under the CEPA, Indian exports to Oman that earlier faced duties of up to

5%, valued at around \$3.64 billion, are expected to gain significantly from improved price competitiveness, the ministry had said at the time of signing in December.

The ministry had also pointed to Oman’s electronics imports, worth \$3 billion in 2024, against India’s exports of just \$123 million, indicating clear scope for expansion. Key import segments include smartphones, photovoltaic cells, telecom instruments and parts, boards and cabinets for electric control or distribution, and static converters.

“India already exports smartphones, static converters, and boards and cabinets, with a relatively stronger presence in the latter two. Import duties are already zero for most electronics, and under the trade deal, remaining items -- boards and cabinets, static converters, and television reception apparatus -- also move to zero duty, improving tariff certainty,” the ministry had said.

Different rulings

K A Najeeb. We say this and no more,” the bench comprising Justices B V Nagarathna and Ujjal Bhuyan said in the 102-page ruling.

The court’s concern stems from the line of precedents it examined on whether the rigours of Section 43(D)(5) of the UAPA -- which restricts the grant of bail -- would “melt down” where prolonged incarceration and delayed trial lead to a violation of Article 21 of the Constitution.

The 2021 ruling by a three-judge bench headed by then Chief Justice of India N V Ramana establishes the “good law” to be followed on this issue. The court had said that an accused under trial suffering long incarceration with no end in sight to the criminal trial must be enlarged on bail. The court had then examined the most consequential ruling on bail in UAPA cases -- the 2019 ruling in *NIA v Zahoor Ahmed Shah Watali*. A two-judge bench in the Watali case had held that courts must accept the state’s case without examining its merits while considering bail pleas under the UAPA.

“The caution of Najeeb is that

continued incarceration cannot go unabated by a mere discharge by the State of the prima facie standard under Section 43-D(5),” the SC said on Monday, underlining that the Najeeb ruling would prevail over the Watali ruling. Apart from the structural reasoning, procedurally too, Najeeb is a later judgment by a larger bench.

Judicial discipline and certainty demand that benches of smaller strength are mindful of the decisions rendered by larger benches and are bound to follow the same. However, in a polyvocal court, where multiple benches of two and three judges comprise the Supreme Court, these norms are often diluted.

In a 2024 ruling in *Gurwinder Singh v. State of Punjab*, a two-judge bench cautioned against “mechanical” invocation of delay to seek bail, suggesting bail should only be considered if it also satisfies the test under Section 43(D)(5) of UAPA.

In January 2026, another two-judge bench also side-stepped the Najeeb precedent, holding that the accused in the Northeast Delhi riots case had not “crossed the constitutional threshold” of delay to seek bail.

India is now Naxal-free, Shah declares in Bastar

Lauds security forces in first visit to former Maoist epicentre after March 31 deadline

Jayprakash S Naidu
Raipur, May 18

ON HIS first visit to Bastar after the March 31 deadline that he had set to eradicate Left-wing extremism, Union Home Minister Amit Shah on Monday declared India “Naxal-free”.

“I proudly declare — India is now Naxal-free,” said Shah while reiterating that the development work in Chhattisgarh’s Bastar region, which was once the epicentre of the Maoist movement, would be expedited in the next few years to bring it on par with the rest of the country.

At the event in Jagdalpur in Bastar district, Shah was addressing personnel from the various security forces that took part in anti-Maoist operations, as well as family members of security personnel and civilians killed in Maoist violence.

“This is a very big day for Bastar. *Aaj yaha khada rehkar seena tan ke keh sakta hoon Bharat Naxal mukht ho chuka hai.* (Standing here today, I can proudly say with my head held high that India has become free of Naxalism). All credit for this achievement goes to our secur-



Union Home Minister Amit Shah inaugurates a Common Service Centre in Bastar on Monday. PTI

ity forces, and I bow before you. This was a dream — a dream for which thousands of jawans made the ultimate sacrifice to turn it into reality,” he said.

“From 1971 to 2026, the public suffered like a nightmare... there was lot of bloodshed. Three generations were wasted. I am very happy our target has been achieved by our brave soldiers in 3-4 years,” he said.

After Shah set March 31, 2026, as the deadline to eradicate Left-Wing Extremism, security forces had stepped up anti-Maoist operations, especially in Bastar region over the last two years. This resulted in the killing of hundreds of Maoist cadres and the surrender of hundreds more, including senior leaders of the banned CPI (Maoist).

Shah said that when Narendra Modi became PM in 2014, India faced security issues in

J&K and the Northeast, as well as the spectre of LWE. “Today, by and large, India is free of all three issues and is on the road to development,” Shah said.

His new target, the Home Minister said, was making Bastar the most developed tribal region in India in the next five years. He announced that 70 CAPF camps to act as a one-stop centre for all development activities, providing around 370 government benefits and schemes.

Due to Naxalism, Shah said, government benefits like rice procurement at Rs 3,100 per quintal, seven kg free rice distribution, 15% reservation in government jobs, or even basic education for tribals could never reach many areas of Bastar.

He said an elaborate plan has been drawn up for 3,000 surrendered Naxals, and Rs 20 crore has been spent on skilling and educating them.

India and Sweden: Delivering growth, resilience and sustainability... together



NARENDRA MODI
PRIME MINISTER OF INDIA

ULF KRISTERSSON
PRIME MINISTER OF SWEDEN

AT A time of growing geopolitical uncertainty, energy insecurity and economic fragmentation, the world faces a defining choice — retreat into narrow national approaches or strengthen partnerships that deliver growth, resilience and sustainability together.

As the United Nations marks its 80th anniversary, the value of international cooperation and multilateralism has become even more evident. At the same time, the need to reform global governance institutions to reflect contemporary realities has become impossible to ignore.

A rules-based international order anchored in international law and sovereign equality has helped create decades of relative stability and development. Yet today's challenges of climate change, industrial transformation, supply-chain disruptions and energy transition require a renewed spirit of practical and inclusive cooperation.

Few challenges are as universal or consequential as climate change. It affects societies and economies across all regions, whether in India, Sweden or elsewhere. But climate action cannot be divorced from development aspirations. Billions of people continue to seek better living standards, jobs, modern infrastructure and energy access. Delivering growth and opportunity while advancing sustainability is therefore not a contradiction, it is the defining economic and political task of our times.



Prime Minister Narendra Modi and his Swedish counterpart Ulf Kristersson in Gothenburg on May 17. PTI

“Our partnership reflects a shared conviction that industrial transformation can be driven through collaboration between governments, industry, innovators and financial institutions.”

India has emerged as one of the world's fastest-growing major economies while pursuing one of the world's largest renewable energy transitions. The approach is guided by a clear objective: To bridge climate ambition with development realities.

As a major growth engine, and a responsible voice of the Global South, India's two defining milestones for the near future are to achieve 'developed country' status by 2047 and Net Zero emissions by 2070. These domestic goals are deeply intertwined.

Thanks to global cooperation, including the Leadership Group for Industry Transition (LeadIT) and other global platforms that India has formed with the United Nations and international partners — including the International Solar Alliance, the Global Biofuels Alliance and Mission LiFE, India is a responsible voice of the Global South.

Simultaneously, Sweden leads the way in European climate action. Thanks to bold decisions taken decades ago, the electric grid is 98 per cent fossil-free. The contribution of the private sector in innovation and ex-

ports of climate-friendly solutions cannot be overstated. All in all, emissions have decreased by more than a third since 1990 — and during this time, the size of Sweden's economy has almost doubled.

The approaches of India and Sweden reflect a broader belief that climate action can create jobs, expand opportunity, strengthen energy security and improve lives. The aim is not only to decarbonise domestic development pathways, but to help build partnerships that make clean industrialisation at scale possible.

It is in this spirit that India

and Sweden met in Gothenburg on May 17. Our partnership reflects a shared conviction that industrial transformation can be driven through collaboration between governments, industry, innovators and financial institutions.

The green transition is not only an environmental imperative, it is also central to competitiveness, economic resilience and long-term growth.

India and Sweden have demonstrated the value of such cooperation through the LeadIT, launched jointly by both countries in 2019 with the support of the United Nations. LeadIT has helped place industrial decarbonisation and hard-to-abate sectors at the centre of the global climate discussion. More importantly, it has shown that developed and developing economies can co-create solutions through trust, innovation and shared responsibility.

Today, however, the scale and urgency of the challenge demand that we move further and faster.

The next phase of LeadIT should move from words to action, meaning implementation at scale. It has proved to be a useful platform for action by accel-

erating technology partnerships, enabling industrial pilot projects, mobilising sustainable finance, strengthening resilient clean-energy supply chains and building globally competitive low-carbon industries.

The next phase should aim to support workforce transitions, skills development and financial architecture that reduce risk and lower the cost of capital for industrial transformation.

Not every country needs to invent every solution, but every country should have the opportunity to adapt, deploy and scale technologies suited to its developmental circumstances and priorities. Emissions do not recognise borders, and neither can the solutions.

We, therefore, call for a broadening and deepening of this coalition through 2030. We invite more countries, including Nordic partners with strong innovation ecosystems and clean technology leadership, to join and actively contribute to this effort. The industrial transition can succeed only if it can deliver tangible economic value and social progress.

Solar, wind, hydropower, nuclear energy, storage technologies and low-carbon industrial solutions will all have important roles to play depending on national circumstances and priorities.

No country can secure every critical technology, mineral or industrial input alone. Nor can any nation address climate change in isolation. Emissions do not recognise borders — which is why solutions must be international.

The opportunity before us extends far beyond climate policy. It is about shaping a new era of industrial cooperation.

India and Sweden remain committed. At a moment of global uncertainty, our message is clear: Cooperation, rather than fragmentation, will define the pathway to shared prosperity and a sustainable future.

INK PACTS ON SPACE, HEALTH, DIGITAL DEVELOPMENT

India, Norway elevate bilateral ties to Green Strategic Partnership

Shubhajit Roy

New Delhi, May 18

INDIA AND Norway decided to elevate bilateral ties to “Green Strategic Partnership” and signed pacts on space, health and digital development following Prime Minister Narendra Modi's meeting with Norwegian PM Jonas Gahr Støre in Oslo on Monday.

After the bilateral talks, PM Modi said: “Today, we are giving shape to India-Norway relations as a ‘Green Strategic Partnership.’ Through this strategic partnership — spanning sectors ranging from clean energy to climate resilience, and from the Blue Economy to Green Shipping — our companies will develop global solutions by combining India's scale, speed, and talent with Norway's technology and capital.” Modi met Støre hours after he landed in Oslo from Sweden as part of his four-nation European tour.

The Norwegian PM said, “We are now elevating our relationship to a Green Strategic Partnership, which gives us the foundation to work on knowledge, resources, and ambitions for the green transition, where we depend on succeeding, both of us.” On health cooperation, Støre said, “We are strengthening our cooperation in health; a lot to learn from India. We are signing a memorandum of understanding on developing high-tech quality health services, closer cooperation on digital health, artificial intelligence, research, and health technology. We also deepen our cooperation on digital development, including work on digital public infrastructure and digital public goods.”

On Arctic and space cooperation, Modi said, “Norway is a key nation in the Arctic region. We share a long-standing history of cooperation in Arctic and polar research. We are grateful



PM Narendra Modi with King Harald V as he is conferred the Grand Cross of the Royal Norwegian Order of Merit, in Oslo on Monday. ANI

E. EXPLAINED

Shared belief in rules-based order

AMID ONGOING conflicts in Ukraine and West Asia, both India and Norway extended support to every effort toward an early end to hostilities and the restoration of peace. Both countries firmly believe in a rules-based order, dialogue, and diplomacy, said PM Modi. The two nations also pledged commitment to eliminating terrorism in all its forms.

to Norway for its support in the operations of India's Arctic research station, “Himadri.” The MoU being signed today between ISRO and the Norwegian Space Agency will add new dimensions to our cooperation in the space sector.” “Through deeper cooperation in all these areas, our scientists will contribute to understanding climate change, protecting fragile ecosystems, and securing the future of humanity,” he said.

“As two major maritime nations, we will work together to strengthen cooperation in the marine economy, maritime security, and capacity building. Today, we have concluded a Triangular Development Cooperation Agreement. We will now collaborate to contribute to human development in countries of the Global South through India's Digital Public Infrastructure projects,” PM Modi said.

The two leaders also discussed the geopolitical situation and the conflicts in Ukraine and West Asia. Modi said, “Both India and Norway firmly believe in a rules-based order, dialogue, and diplomacy...” The Norwegian PM said, “Norway and India do not always see eye to eye on all issues. Nobody does. And we are both respectful democracies who handle those issues in ways that live up to democratic standards...”

This is the first visit by an Indian PM to Norway in over 40 years; the last PM to visit Norway was PM Indira Gandhi in 1983. Modi also met King Harald V and Queen Sonja of Norway and received the Grand Cross of the Royal Norwegian Order of Merit.

• POLITY

In federalism challenges, consensus is the solution



EXPERTS EXPLAIN
DEVESH KAPUR &
ARVIND SUBRAMANIAN

CONTENTIOUSNESS HAS marked discussions around the recently defeated Constitutional Amendment Bill. But that has been true of the evolution of federalism since Independence, not least because federalism has been a critical instrument of nation-building. From the centralisation turn in the constitutional design in the aftermath of the horrors of Partition, to the never-ending debates on vertical and horizontal devolution in fiscal federalism, to the centralising effects of the Planning Commission, to the misuse of Article 356 and dismissal of state governments by the Centre and imposition of President's Rule, to the partisan role of Governors, the language imbroglio, delimitation and the distribution of seats in Parliament, federalism has been a work in progress and never set in stone.

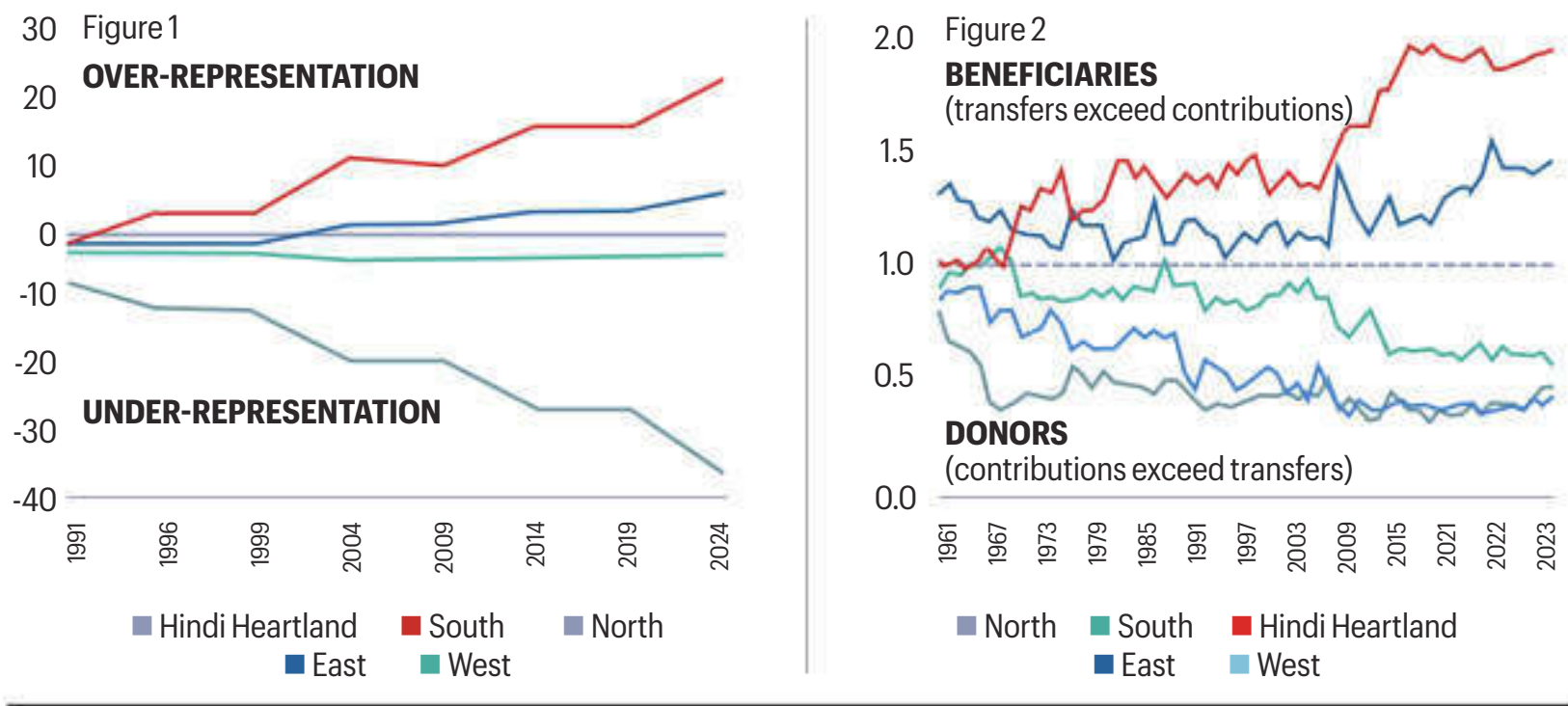
Our recent book, *A Sixth of Humanity*, which looks back on 75 years of India's development journey, sheds light on some of these issues. It quantifies two proximate challenges, identifies the two deeper causes and ends with one anecdote that is both revealing and instructive for India's politicians.

Proximate challenge 1: Rising democratic 'deficit'

In democracies, equal citizenship requires that each citizen's vote should have the same weight. As populations shift, periodic adjustments in the distribution of seats, both across states (between states with slower and more rapid growing populations) as well as within states (between slower growing rural areas and faster growing urban areas) are needed to ensure this equality. But principles in the abstract need to be adjusted with the pragmatism of political wisdom.

Constitutional amendments in 1976, and again in 2002, froze political representation on the basis of the 1971 Census until the first Census after 2026. As a result, as *Figure 1* indicates, the "democratic deficit" — the gap between a state's population share and its seat share — had grown from a relatively small amount in 1991 to such an extent that even in the 2024 elections, the four Southern states (Andhra Pradesh, Kerala, Tamil Nadu and Telangana) would have had 23 fewer seats and the four Northern states (Bihar, Madhya Pradesh, Rajasthan, and Uttar Pradesh) 31 additional seats had these been determined by the latest population estimates.

• Changing populations, changing representation



Proximate challenge 2: Rising fiscal transfers

In a federal polity, fiscal resources would be generated and allocated across states in line with economic size and performance. In reality, this will and should never happen, and some redistribution will be essential. Transfers from richer to poorer states to ensure broadly comparable access to public goods and services to all citizens are a key instrument of nation-building. But redistribution that is open-ended and rising continually is an invitation to resentment and discontent.

Figure 2 plots the difference between a state's contribution to the tax base and what it receives by way of Finance Commission transfers. An index greater than 1 implies a state is a beneficiary, while an index smaller than 1 implies it is a donor. In the early 1960s, the spread between the index was small. The Hindi heartland, for example, got 20 per cent more resources than the size of its economy. The South and West got 20 per cent less.

But because of growth divergence and highly redistributive policies, by 2023, the Hindi heartland received 90 per cent more Finance Commission resources relative to its economic base/contribution, while the South and West received about 44 and 58 per cent less, respectively than their contribution. The wedge between contributors and beneficiaries has grown sharply over six decades, especially in the new millennium.

The more powerful Centre needs to engage with states through wide consultation, accommodation, compromise and self-restraint

erally with minimal consultation and little respect for the democratic processes of wide consultation, accommodation, compromise and self-restraint.

Instead of treating politics as electoral competition, it is increasingly viewed as an existential battle to vanquish enemies. Co-operative federalism — the bedrock of nation-building — is curdling into contentious, even combative, federalism. This has led to mounting grievances — in Kashmir, Ladakh, Manipur, the South, and amongst religious minorities.

The single biggest casualty is the erosion of the most potent and indispensable, if elusive, force of nation-building — trust — whether among citizens, between the state and citizens, between the Centre and states, and between states.

What is democratic sensibility? In 2018, the Finance Minister of Kerala, T M Thomas Isaac, politely asked to walk out of the GST (Goods and Services Tax) Council meeting because he was in a minority of one relative to the consensus on gambling taxation. The Council could easily have moved forward because it was the Centre plus 28 states against one state, and that too a state in opposition to the ruling party at the Centre.

Instead, the then Union Finance Minister, Arun Jaitley, went out of his way to cajole him back and accommodate his position even while juggling to maintain the delicate compromise amongst the other 28 finance ministers. Kerala came on board. Unanimity was preserved. India triumphed.

Solutions galore — new compacts, grand bargains, complex voting principles, revised fiscal transfer arrangements — have been offered in the last few weeks to address the serious challenges of Indian federalism. But if performance diverges within India, no solution will succeed without the embrace of a basic democratic sensibility, especially on the part of the Central government which has the preponderance of power. With it, workable solutions will be possible for even the most exigent challenges. Without it, even simple problems risk spiralling into crises. Democratic sensibility prevents a dominant government from becoming domineering.

This is the first of two pieces on the federalism debate. It draws upon the authors' recent book A Sixth of Humanity: Independent India's Development Odyssey, especially Chapters XIV and XV.

Devesh Kapur is a political scientist and the Starr Foundation Professor of South Asia Studies at the Johns Hopkins University School of Advanced International Studies, Washington DC.

Arvind Subramanian is an Indian economist and the former Chief Economic Advisor to the Government of India (2014-18). He is currently a Senior Fellow at the Peterson Institute for International Economics, Washington DC.

It is important to note that the biggest contributors are not the Southern states but Gujarat, Maharashtra and Haryana; and that Odisha and West Bengal are also significant beneficiaries.

The growing democratic deficit and rising fiscal transfers are in some ways only symptoms or manifestations of the challenges. There are two, deeper causes.

Deeper cause 1: Divergent performance

One of the key, underlying problems afflicting federalism discussions has been the sharply divergent performance of the states, relating to fertility and economics.

Since 1980, per capita gross domestic product (or GDP, proxy for standards of living and economic performance) in the South, West and Haryana has grown almost as rapidly as China and for as long and they have pulled away from the Hindi heartland states (and West Bengal). Any federal system would find it challenging to address such divergence, because the high stakes touch upon political representation and economic redistribution and are not easily reconcilable. The challenge is further heightened by the perception that contributing states are being penalised for their over-performance (on demography and economics) while the receiving states are being rewarded for the under-performance (as shown in *Figure 2*).

Deeper cause 2: Erosion of democratic sensibility

The elephant in the room, aggravating the challenges of fiscal federalism, is the growing divisiveness of Indian politics. From demonetisation to farm laws to the Citizenship Amendment Act, 2019, to the replacement of the Indian Penal Code with the Bharatiya Nyaya Sanhita to the Special Intensive Revision electoral changes and the introduction of the recent Constitutional Amendment Bill, the ruling party has acted unilat-

Cooperative to combative

Cooperative federalism is curdling into contentious, even combative, federalism.

This has led to mounting grievances in different parts of India, and amongst religious minorities, leading to erosion of trust.

• SCIENCE

How does Earth protect itself from the Sun? New mission to find out

Anjali Marar
Bengaluru, May 18

IN A first, Chinese and European space agencies are sending a joint mission to study the Earth's defences against the Sun. The Solar wind Magnetosphere Ionosphere Link Explorer (SMILE) mission will be launched on Tuesday at 05:52 CEST (09:22 IST) on a European Vega-C rocket.

The mission aims to capture the first X-ray images of Earth's protective magnetic shield in action as it battles and deflects harmful charged particles and energies coming from the Sun.

These periodic events, when the Sun's ejections interact with the outer layers of Earth's magnetic field, give rise to spectacularly bright 'dancing lights' in the sky, called auroras. Auroras have been visible from Earth for centuries and evoked a sense of wonder. For the very first time, a satellite placed deep in space will capture the full spectrum of this interaction and take never-before-seen images of a crucial process that enables life on Earth.

By studying these interactions, the SMILE mission can help enable an early warning system for solar ejections that would be useful not just in protecting our space assets but also ground-based infrastructure, like electricity grids, from particularly nasty solar flares.

The shield

The Sun constantly spews various types of matter, magnetic fields, energy and plasma into space, which can interfere with space weather. Perturbations to space weather can have major ramifications on many of Earth's critical space assets.

Earth remains largely protected from these ejections thanks to the magnetic field that blankets it, a vast, comet-shaped bubble called the magnetosphere. In our solar system, Earth has one of the strongest magnetospheres. It is the magnetosphere that makes it possible for life to form, exist and sustain on Earth.

SMILE is not the first space mission

Joint effort

• Austria, Belgium, Denmark, France, Germany, Italy, Luxembourg, the Netherlands, Norway, Spain, Switzerland and the UK have worked with the Chinese on this mission.

• While the Chinese and European space agencies have worked together in the past, this is the first time that they are sending a joint mission to space.

meant to study the magnetosphere. Past missions like the Swarm and Cluster by the European Space Agency (ESA) have also vastly improved our understanding of this region in space and the processes that happen here.

What sets SMILE apart is that it will, in real-time, be able to capture X-ray images of how the Earth's magnetosphere instinctively reacts and protects the Earth from numerous incoming solar emissions and charged particles. Unlike previous missions, it will also get a full view of the interactions happening in the magnetosphere.

The mission

SMILE weighs about 2,600 kg and has a mission life of about three years. It will be positioned around 1.21 lakh km above Earth's north pole and be able to observe the edge of the magnetosphere fully.

The mission will help solar physicists better understand space weather and forecast solar storms or other perturbations. This is vital for the safety of astronauts, our

space-based assets like satellites, GPS, and airline operations, as well as uninterrupted operations of space stations.

The forecasts happen at present too, thanks to satellites installed in space for this purpose, but SMILE is expected to significantly improve the accuracy and effectiveness.

The mission is carrying four scientific instruments, weighing 70 kg in total. All these payloads will use remote sensing and make in situ (on site) observations along the near-Earth regions. The four onboard instruments will operate both on X-ray and ultraviolet wavelengths of the electromagnetic spectrum.

ESA has developed the Soft X-ray Imager (SXI), whereas the Chinese team has developed the other three payloads — Magnetometer, Light Ion Analyser (LIA) and Ultraviolet aurora Imager (UVI).

While the Chinese and European space agencies have worked together in the past, this is the first time that they are sending a joint mission to space.

The Editorial Page

TUESDAY, MAY 19, 2026

No quick-fixes, weak rupee problem runs deep

THE INDIAN currency continues to be under pressure. On Monday, the rupee was hovering around 96.3 against the dollar — since the beginning of this year, it has fallen by around 6.5 per cent. According to a report in this paper, some policymakers view this fall as the market pricing in the depreciation that may have occurred before 2025, a time when the central bank’s interventions increased sharply, leading to an “artificial stabilisation” of the rupee. While market interventions designed to keep the currency at a particular level may delay the adjustments required to fix underlying imbalances in the economy, the problems with the rupee run deeper.

The currency’s weakness comes at a time when the Indian economy has been growing at a relatively healthy pace, with both inflation and the current account deficit being low. The rupee has also fallen against the dollar when the greenback has itself weakened — in 2025, the rupee fell by 4.7 per cent against the dollar when the dollar index fell from 109 to 98. The problems have been due to pressure on both the capital and current accounts. Capital has been flowing out of the country, with both foreign and domestic investors exploring alternatives. Investors seem more exuberant about the prospects of East Asian economies, which are benefitting from the China+1 play and the AI boom. And on the current account side, the steep rise in global crude oil prices is exerting pressure, financing which will be challenging.

In response, there have been appeals to curb foreign travel and gold purchases in order to conserve forex, with the RBI also intervening in the markets to stem the rupee’s slide. Its net short forward position had widened considerably, and it had earlier also restricted activity in the non-deliverable forwards market. The relief to the currency from the central bank’s steps was, however, short-lived. But the temptation to intervene in the currency markets through various instruments, when the rupee is facing both depreciation and appreciation pressures, is not new. The central bank has in the past repeatedly intervened in the markets. The approach should, however, be to allow the currency to move freely. The rupee should work as a shock absorber. At the current juncture, the focus should be on addressing the pain points in the economy. Steps need to be taken to attract foreign capital, raise domestic competitiveness and boost merchandise exports. The structural impediments to growth need to be tackled urgently.

On Saranda forests, Jharkhand must heed SC

IN NOVEMBER last year, the Supreme Court asked the Jharkhand government to notify 314 sq km of the Saranda forests in the state’s West Singhbhum district as a wildlife sanctuary. The order came after the apex court had pulled up the state government on at least two occasions for failing to comply with its directives on checking illegal mining in the biodiverse forests. However, after assuring the Court of compliance, the Hemant Soren government has dilly-dallied over protecting one of Asia’s largest sal forest ecosystems. It has missed the February deadline for declaring the Saranda forests a wildlife sanctuary and instead filed two review petitions before the SC — the last on April 30. The state government’s argument — according to protected area status to the forests would curtail the rights of indigenous people — flies in the face of the SC’s clarifications. The Court has repeatedly said that individual and community rights under the Forest Rights Act will remain protected and traditional livelihoods will not be displaced by conservation efforts.

The Saranda forests are among the country’s most important elephant corridors. Mining operations have, over the past two decades, altered the ecosystem’s integrity. They have disrupted the migratory routes of elephants and forced them to move through human settlements and fields, leading to increased human-animal conflict across Jharkhand and neighbouring Odisha and West Bengal. A study published last year in *Ecology and Evolution* reported that rampaging elephants had killed more than 1,300 people in Jharkhand between 2000 and 2023. Deforestation also weakens watershed systems, accelerates soil erosion, hampers local climate resilience, and affects agriculture and people’s livelihoods. The Jharkhand government is, therefore, ill-advised in framing conservation as a choice between forests and indigenous communities. It should see the protection of the sal forests as a matter of long-term ecological security.

Jharkhand’s prevarication reflects a deeper and troubling pattern — a widening chasm between judicial directives and executive action on environmental matters. Whether in the inadequate response to Delhi’s deteriorating air quality, the bypassing of Court orders aimed at protecting the fragile Himalayan ecology, or dilution of safeguards within coastal zones, the executive has too often failed to match the judiciary’s interventions with meaningful enforcement. Public faith in environmental governance is undermined when governments offer assurances before courts and then delay or dilute implementation. The Jharkhand government should course correct and listen to the SC.



AMRITA NARLIKAR

The old DDA-related concerns remain unaddressed. Chinese overcapacity cannot be solved by trade measures alone. National security barely features in WTO discussions. Planetary rights are scarcely present in trade debates

The Ideas Page

TUESDAY, MAY 19, 2026

For economic growth, focus like Arjun, or Deng



ARVIND P DATAR

IN 1978, high-level Chinese officials made study tours of several Western and Eastern European countries and Japan. Within weeks, they prepared detailed reports on what China needed to do to economically progress as quickly as possible. Launching his policy for economic reform, Deng Xiaoping made three critical observations: “Recently, our comrades have had a look abroad. The more we see, the more we realise how backward we are. The basic point is we must acknowledge that we are backward, that many of our ways of doing things are inappropriate and that we need to change.” In his outstanding biography of the Chinese leader, Ezra F Vogel records that Deng instructed his officials: “Look at how (the West) manage their economic activities. We ought to study the successful experiences of capitalist countries and bring them back to China.” This was a stunning policy shift for a Communist nation.

After Covid, 2026 is likely to be an extremely difficult year. Indeed, this year is to India what 1978 was to China. India needs to make a similar pivotal shift with a monomaniacal focus on economic growth. Most Indians know the story of Arjun focussing on the wooden fish circling overhead at Draupadi’s *swayamvar*. Looking into its reflection in the water, Arjun could see nothing but its eye. It was this single-minded focus, or *ekagrata*, that made him successful.

The first step to progress is to acknowledge and confront the brutal facts. India has slipped to sixth place in the GDP rankings. The rupee is at an embarrassing low of Rs 96 to the dollar and, at the current trend, is likely to reach the three-digit mark by the next quarter. A weak rupee shakes investor confidence, and overseas investors have withdrawn over \$20 billion from the Indian stock markets in the first quarter of 2026, another historic low.

FT Weekend (May 9, page 17) reports: “The rupee was already Asia’s worst-performing currency this year before the war began, thanks to India’s growing trade deficit and a slump in foreign direct investment in productive assets.” It further

notes that the dollar returns of India’s Nifty 50 were at a four-year low, and that Indian stocks had underperformed their Asia-Pacific counterparts by 25 per cent. Adding to these alarming statistics is the fact that India’s trade deficit swelled to almost \$120 billion by March 31, compared with \$95 billion a year earlier. This abnormal increase is undoubtedly due to the oil crisis in the Gulf.



The second step is to seriously re-examine how inappropriate our ways of doing things are. Most changes are on the periphery; eliminating archaic laws or deleting provisions for harsh punishments do little to attract domestic or foreign investments. There must be a major reduction in state-level regulatory hurdles, licences and no-objection certificates that ensure that it is not easy doing business in India. Every hurdle is a point of corruption, which again discourages investment.

The third, and most important, step is to determine what needs to change. Multinational companies, large domestic companies, and representatives of the MSME sector are best placed to make suggestions on what changes are imperative. The Centre and state governments should prepare a detailed questionnaire that will generate extensive feedback. It is clear that regulated incentive schemes like the PLI can only give limited benefits. There is an equally important need to study the incentives offered by Vietnam, Thailand and Malaysia, and offer even better terms for setting up factories in India. What are the tax liabilities of industries in those countries? What needs to change in the way our taxes are administered? The Swadeshi dream will come true only if we make manufacturing in India attractive and rewarding for large global brands.

The need for Arjun’s hyperfocus on reviving the economy is more critical than ever. Sadly, India’s progress is hobbled by scattered focus on multiple political issues that deserve to be put on the back burner. Almost 50 years ago, Deng made a radical, and almost heretical, policy shift that altered the destiny of China. He did not hesitate to adopt capitalist policies in a Communist nation, because that was what was needed the most. The current financial crisis is a golden opportunity for India to radically alter its policies as did China. We cannot be unmindful of the needs and exigencies of our country and the limitations of a republican democracy. But we need to go far beyond austerity measures and policy tinkering at the fringes. As was beautifully said: Nothing changes, if nothing changes.

The writer practises at the Supreme Court



SAKTI PRASAD SRICHANDAN

Behind Netherlands visit, a semiconductor push

WHAT MADE PM Modi’s visit to the Netherlands particularly consequential was not merely the symbolism of diplomatic engagement, but the growing convergence between India’s technological ambitions and the Dutch dominance in the semiconductor ecosystem. The visit came at a time when semiconductors have become the new geopolitical currency of power, shaping economic competitiveness, military capability, AI, and digital sovereignty.

At the centre of this emerging partnership lies ASML, the Dutch technology giant that occupies a near-monopoly position in the global chip ecosystem. ASML is the world’s only producer of extreme ultraviolet (EUV) lithography machines, the highly sophisticated systems required to manufacture advanced semiconductors. Without its machines, the production of cutting-edge chips becomes virtually impossible. This has transformed the Netherlands from a relatively modest European power into a critical node in the global technology rivalry between the United States and China.

India has identified semiconductors as central to its broader push for technological self-reliance under initiatives such as Make in India, Digital India, and the India Semiconductor Mission. New Delhi has committed billions of dollars in subsidies and incentives to build an ecosystem, including fabrication plants, packaging facilities, chip design centres, and semiconductor research infrastructure. The proposed Tata semiconductor fabrication facility in

ASML is the world’s only producer of extreme ultraviolet (EUV) lithography machines, required to manufacture advanced semiconductors

Dholera, Gujarat, with a planned total investment of \$11 billion, for instance, represents India’s most ambitious attempt yet to enter the advanced manufacturing segment of the global chip-supply chain.

The global semiconductor industry is undergoing a profound restructuring because of the US-China competition, export controls, and supply-chain vulnerabilities exposed during the Covid pandemic. Dutch companies, including ASML, now face increasing restrictions on exports to China under pressure from Washington. Consequently, India appears increasingly attractive as a democratic, politically stable, and strategically aligned alternative manufacturing destination within the broader “China-plus-one” framework. Reports say that Dutch semiconductor firms are actively exploring diversification opportunities outside China, while Indian officials are encouraging the Netherlands to view India as a long-term production and innovation base.

Earlier this year, Electronics and IT Minister Ashwini Vaishnaw visited ASML headquarters in Veldhoven, where discussions focussed on lithography technologies and India’s semiconductor ambitions.

During PM Modi’s trip, Tata Electronics signed an MoU with ASML to support the establishment and ramp-up of its upcoming 300 mm (12-inch) semiconductor fabrication plant in Dholera. Yet the significance of this partnership extends beyond hardware and manufacturing. The Netherlands offers India access to an

entire ecosystem of semiconductor innovation involving research universities, photonics clusters, precision engineering firms, and advanced design capabilities. Such collaboration could help India avoid the mistake of becoming merely a low-cost assembly base and move up the value chain toward chip design, semiconductor R&D, advanced materials, and AI-integrated manufacturing systems. Modi’s visit therefore reflected a broader evolution in Indian foreign policy, from traditional diplomacy centred on trade and politics towards what may be called “technology diplomacy”.

There are reasons for caution. Semiconductor manufacturing is among the most capital-intensive and technologically complex industries in the world. Even with subsidies and political support, India faces structural challenges, including infrastructure gaps, power reliability issues, shortages of highly specialised manufacturing talent, and dependence on imported semiconductor-grade materials. Export-control politics could complicate deeper technology transfers. The Netherlands itself remains closely tied to American strategic preferences in semiconductor controls.

Nevertheless, PM Modi’s trip could accelerate India’s transition from being a consumer of advanced technologies to becoming an active participant in shaping the global semiconductor ecosystem.

The writer is assistant professor, Centre for European Studies, School of International Studies, JNU

CURRENT LOSS PEGGED AT RS 750 CR A DAY; FIGURES EXCLUDE UNDER-RECOVERY ON JET FUEL SALES

Petrol, diesel price hike slashes OMCs’ daily losses by Rs 250 cr

Sukalp Sharma
New Delhi, May 18

THE RS 3-per-litre hike in petrol and diesel prices has provided some relief to public sector oil marketing companies (OMCs), reducing their combined daily losses on sales of the two automobile fuels and liquefied petroleum gas (LPG) by a fourth, or about Rs 250 crore, a senior Petroleum Ministry official said on Monday.

The three OMCs — Indian Oil, Bharat Petroleum, and Hindustan Petroleum — are currently incurring losses of about Rs 750 crore a day by selling petrol, diesel, and LPG below market rates, according to Petroleum Ministry Joint Secretary Sujata Sharma.

She did not comment on whether more fuel price hikes are in the pipeline. Sharma said the loss figures don’t include the OMCs’ under-recovery on jet fuel sales for domestic flights.

The OMCs hiked petrol and diesel prices by Rs 3 per litre on Friday, the first increase in over four years, as they continue to grapple with financial strain amid the West Asia crisis.

Petrol is now priced at Rs 97.77 per litre, and diesel at Rs 90.67 in New Delhi. Fuel prices vary across states due to differences in state-level taxes. There was no hike in LPG prices since the last increase early March.

As per industry sources and analysts, the quantum of this hike will only partially ease the pressure, as the gap between retail fuel prices and the market price is much wider. More calibrated and staggered price hikes may be on the cards.

“The Rs 3 hike, alongside a marginal softening in crude prices, brings estimated residual under-recoveries down to Rs 10 and Rs 13 per litre, offering OMCs a degree of operational breathing room. The overhang is far from gone, though... The latest price increase is, therefore, aimed at containing incremental balance sheet stress rather than restoring marketing margins, and is better read as a policy acknowledgement that absorbed costs must eventually reflect in prices,” Sehul Bhatt, Director, Crisil Intelligence said Friday.

Global crude oil prices rose by over 50% due to the crisis, but

• STAGGERED HIKES?

OMCs HIKED petrol and diesel prices by Rs 3 per litre on Friday, the first increase in over 4 years

THE QUANTUM of this hike will only partially ease the pressure, as the gap between the retail fuel prices and the market price is much wider

THE GOVERNMENT chose a staggered approach because a one-shot steep price hike would not have been politically palatable, according to experts



CALIBRATED PRICE hikes allow the Centre to pass on the higher prices to consumers gradually, while keeping a tab on public reaction

to protect consumers, the government-owned OMCs didn’t pass on the higher rates for retail petrol and diesel. In fact, their prices hadn’t been hiked for four years, apart from a cut once before the 2024 Lok Sabha polls.

Discussions on a hike in their prices gathered pace within the government, with a consensus that an increase was necessary. The key considerations were the timing and the quantum: whether to do it im-

minently or hold prices for longer, and whether to announce a steep hike in one go or adopt a staggered approach, as per a top government official.

A staggered approach was evidently chosen. A one-shot steep price hike wouldn’t have been politically palatable, and would have had a shock factor, industry sources said. Calibrated hikes allow the Centre to pass on the higher prices to consumers gradually, while

monitoring public reaction and the inflationary impact on an ongoing basis, instead of the inflationary shock and backlash that a steep hike might lead to.

Apart from a direct bearing on Consumer Price Index (CPI), fuel prices have an indirect impact on inflation as they affect freight and logistics costs, as well as energy and input costs for sectors.

“Given the weightage of petrol and diesel in the CPI basket, a 3-5% increase (in fuel prices) likely adds about 15-25 bps (basis points) to the headline inflation, besides second round impact,” Radhika Rao, Senior Economist and Executive Director, DBS Bank said on Friday.

Rao added that the price hike was a “long-anticipated move”, and could lead to a bit of moderation in fuel demand. She also recounted that back in 2022, amid the global oil and fuel price surge in the wake of Russia’s invasion of Ukraine, retail fuel prices were hiked by about 9-10% in two steps.

The crisis has put the OMCs under severe financial stress.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

• WHITE HOUSE STATEMENT DROPS REFERENCE TO ELIMINATION OF CHINA’S EXPORT CONTROL REGIME; FLAGS INDIUM SHORTAGES FOR THE FIRST TIME

US gets small rare earth win, but China’s export curbs will stay

Reuters
Beijing, May 18

CHINA WILL address US concerns about rare earth shortages, the White House said on Sunday in a recap of agreements struck at last week’s leaders summit that fell short of calling for the removal of restrictions that have disrupted US aerospace and semiconductor manufacturing.

Introduced in April 2025 in retaliation for US President Donald Trump’s so-called Liberation Day tariffs, Beijing’s controls continue to tightly restrict exports of certain rare earths despite a deal at last October’s Busan summit where the White

House said China committed to “effectively eliminate” all current and proposed critical mineral export controls.

Six months on, the White House’s latest statement now acknowledges that China’s export control regime will stay. It also did not mention whether a one-year truce on a wider set of Chinese rare earth restrictions, due to expire in November, will be extended. The Sunday fact sheet summarising key takeaways from the summit said China will address US concerns about shortages of critical minerals and rare earths including yttrium, scandium and indium.

It also said China would address US concerns over export



China’s indium exports dropped dramatically, plummeting by about two-thirds globally in 14 months since February 2025. REUTERS

curbs on rare earth processing technology, which Beijing tightly guards to protect domestic producers responsible

for almost all of the world’s production. Unlike the White House, China’s Ministry of Commerce made no mention

of rare earths in its own summary published on Saturday.

While rare earth export licences are flowing to sectors like autos and consumer electronics, firms in sensitive sectors where rare earths have potential military applications continue to face delays.

Indium and chips

One critical mineral mentioned for the first time by the White House is indium, which plays a key role in the upstream and downstream semiconductor supply chain and has been on a Chinese export control list since February 2025. Its compound indium phosphide is crucial for making next-gener-

ation photonic chips that use light instead of electricity to process data, as well as high-speed optical lasers used in optical fibre and 6G networks. Another compound, indium tin oxide, is used to make LED screens.

Manufacturers like Coherent are stepping up production of photonic chips that are rapidly being integrated into the development of AI data centres around the world.

Chinese exports of indium have fallen dramatically in the 14 months since February 2025 versus the same period the year before, customs data showed. Shipments are down by about two-thirds globally and by 77% to the US.

INDIAN-ORIGIN GOLFER WINS A MAJOR

Born with golden swing, Rai ends English drought at PGA

Born to parents of Indian roots from England, Kenya, Aaron becomes first British to win PGA title after 1919

Nitin Sharma
Chandigarh, May 18

ON LATE Sunday night, 31-year-old Indian-origin golfer Aaron Rai became the first Englishman to win the PGA Championship in the stroke play era and became only the second-ever Indian-origin golfer after two-time Major winner Vijay Singh to achieve the feat. His overall score of 9-under-271 and the fateful lifting of the Wanamaker Trophy came under the watchful eyes of his father Amrik Singh and wife, Indian professional golfer Gaurika Bishnoi.

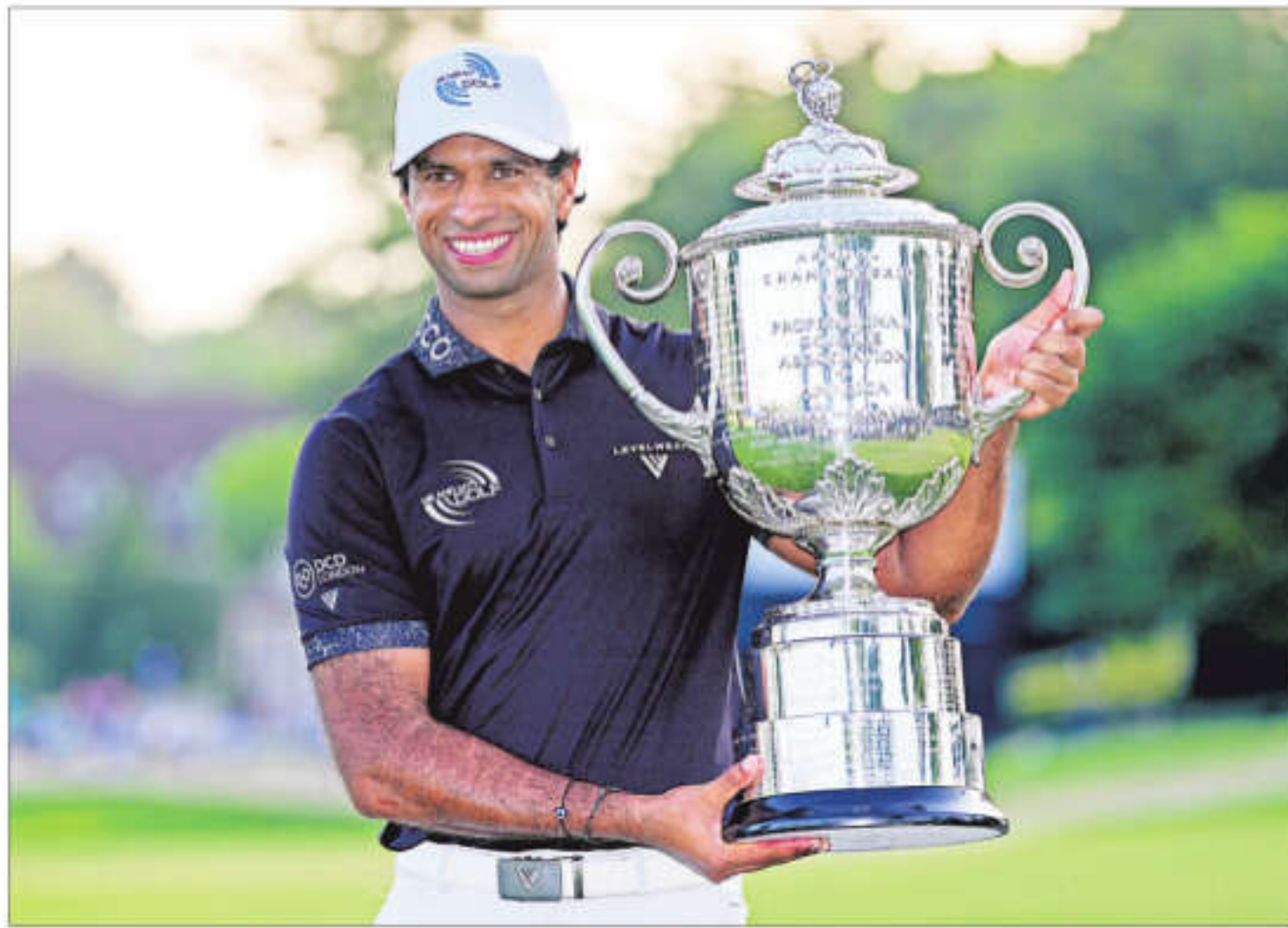
“*Asi sare jane Aaron layi cheer kar rahe si* (We all were awake and cheering for Aaron). While his mother is in Kenya with Aaron’s sister, his father Amrik was cheering for him from the stands. My other nephew and niece were here in Wolverhampton and it was a surreal feeling to watch Aaron lift the trophy with his name inscribed on the trophy, which has names like Tiger Woods and other greats on it,” shared Kuldip Chana, elder maternal aunt of Aaron while speaking to *The Indian Express* from Wolverhampton.

Aaron’s father worked as a professor in Perton, Wolverhampton and mother Dalvir Shukla as a medical nurse. Evenings were spent watching his brother and cousins play cricket before his parents introduced plastic clubs to the then four-year-old. With two golf clubs near their residence,

Aaron’s father worked as a professor in Perton, Wolverhampton and mother Dalvir Shukla as a medical nurse.

Amrik would take Aaron to the clubs as well as East Park before getting him enrolled at the 3 Hammer Golf Club. Chana recalled the time when her brother-in-law would talk about his son’s golf swing and would tell her that he would support the youngster in his dreams. “Our homes are near and I remember Aaron was four years old when Amrik paji and my sister got him his first pair of plastic clubs. I guess he still used to wear nappies when we used to take him to East Park (laughs). But when Aaron started playing golf at the golf clubs, Amrik paji would tell me, “*Behenji* (sister), you look at Aaron’s golf swing!”. Later when one of the parents left the job to support Aaron’s game, we all understood. Yes, it was tough but then it was all for their son’s dream,” adds Chana.

Aaron, who first played in a major at the 2017 US Open, spoke about the challenges faced by his family and how it taught him to be humble. “My dad was with me, as I said, every day, practice wise, and he really instilled the importance of work and dedication and trying to consistently build just good,



Aaron Rai with the Wanamaker Trophy after winning PGA Championship. ASSOCIATED PRESS

strong habits around the game. My mom worked extremely hard away from golf. She worked a couple of jobs at one time and she did a lot of work around the house. My sister took a massive role as well at a young age. She had a job from the age of 14, 15, so there was a lot of consistent messaging of hard work. I guess as I’ve got older, it’s something that I’ve really valued,” Aaron said on Sunday.

In Wolverhampton, coach Darren Prosser, a former pro and one of Aaron’s first coaches, too was watching him win the PGA Championships. While Aaron now trains under Andy Proudman and Piers Ward, Prosser has seen him up close. “He was seven years old when he came to the 3 Hammer course. And we used to do some lessons and then play on the

par-three course. His father Amrik had been his support since day one. Aaron had a textbook swing and he had a great way of getting the club on the ball. He had great hand-eye coordination and he could really work the ball. He hasn’t got many weaknesses in his golf game and he’s suited for a technical course like it was the last night at Aronimink,” said Prosser to *The Indian Express*.

Aaron also spoke about what the win means for England as well India and Kenya. “I am very proud to be from England. That’s where I grew up. That’s where a lot of my family still lives. I’m very proud of India and Kenya as well. My mom grew up there (Kenya), and my mom’s side of the family lived there for a number of years before they moved to

England. And again, going back a couple of generations, both of my sets of grandparents from my mom and dad’s side, were from India. So again, I’m just very proud of representing all three,” Aaron said.

As for in Wolverhampton, coach Prosser is waiting for his ward to return and give a coaching clinic to the kids. “Post one of his title wins, he had attended a golf clinic and signed for the kids. Hopefully, we will soon have him at our club,” said Prosser. At the Guruka Niwas Gurudwara in Wolverhampton, which the family attends, secretary Sukhjinder Singh is preparing a path for Aaron. “*Sada sareya da puttari hai. Asiri path karange*. (Aaron is a son of us all too. We will recite hymns for him and his success).” said Singh.